



Weekly Insights | Dec 11, 2025

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Executive Summary

Corn – Nearby Demand Anchors Spreads as Export Flow and Ethanol Grind Stay Strong

March corn futures held steady near \$4.36/bu this week (–2¢ w/w), as firm spot demand from exporters and processors continued to support the front end despite nominally ample stocks. Nearby structure stayed tight even after the Dec roll, with the Mar/May spread narrowing to 10¢ (46 percent of full carry), reinforcing the nearby strength. Weekly export inspections came in at 1.58 MMT, pushing season-to-date totals to 69 percent ahead of last year and keeping pace with a projected 3.2 bbu program. Interior bids improved incrementally as seasonal winter frictions and

tighter spot barge availability kept river logistics more sensitive for this time of year. Gulf CIF remained historically firm in the low-70s over March (around +72¢), reflecting slower barge movement and continued competition for nearby ownership. Tight spreads and persistent processor pull continue to anchor the futures curve, despite nominally comfortable paper stocks.

Wheat – Heavy Global Balance Sheet Caps Board, but US Exports Hold the Line

Chicago March wheat eased to the low \$5.20s, retracing some recent strength as cheap Russian FOB offers and increasing Argentine availability pressured sentiment. Still, the Mar/May spread held firm near –12¢ (55 percent of carry), and cumulative US export inspections are running 22 percent ahead of last year. Soft white wheat to Asia and HRW to Latin America remain the key drivers of performance. While Argentina's Rosario Exchange raised its wheat production forecast to a record 27.7 MMT, local corn estimates are now projected between 48 and 55 MMT, depending on the source, following better-than-expected yields through the latter half of harvest. Gulf SRW basis remains steady, and PNW demand continues to clear. Global supply remains heavy, but resilient US logistics and improved export execution have provided some cushion.

Soybeans – Futures Break Lower on Brazil Rains, Even as Nearby Crush Keeps Basis Elevated

January soybeans fell 29¢ to \$10.66/bu as improved rainfall across central Brazil and soft US shipment data kept pressure on the board and encouraged position cleanup. The Jan/Mar spread widened slightly to –11¢ (52 percent of carry), still well inside seasonal averages and consistent with continued commercial interest. CIF Gulf soybean basis held firm in the low-80s over January (around +82¢), and processor bids in the Eastern Corn Belt stayed supportive following NOPA's record November crush print of 216.0 mbu. Export inspections totaled 0.796 MMT, down 24 percent from the prior week and well

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below last year's pace, reinforcing Brazil's advantage in the global book. Cash markets continue to stabilize the front end, but without broader demand follow-through, the board remains vulnerable to improving South American yield prospects.

(Carry % calculated assuming 7% annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Dollar Slips, Argentina Deregulates, China Remains Cautious

The US Dollar Index settled near 98.3–98.4 on Dec 17, up modestly on the day but slightly lower on the week. Crude oil steadied near \$60/barrel, offering a mixed backdrop for input and freight costs. The Brazilian real held near R\$5.50/USD. In Argentina, the policy focus this week was on fresh export-duty reductions announced Dec 9: soybeans to 24 percent (from 26 percent), corn to 8.5 percent (from 9.5 percent), and wheat to 7.5 percent (from 9.5 percent), framed as permanent cuts to improve competitiveness and accelerate FX inflows into Q1 2026.

In China, tariff suspensions for US corn and wheat technically remain in place, but commercial engagement has been minimal. Recent soybean purchases are widely believed to be for state reserve use rather than commercial restocking. Meanwhile, US biofuel policy remains unresolved, as the EPA's final 2026 RFS mandate has been postponed to early 2026, extending the window of regulatory ambiguity for corn ethanol and soybean oil demand.

Weather – Brazil's North-South Divide Persists as Argentina Holds Steady

Brazil's north–south split remains the clearest weather signal in the market. Central and northern areas continued to benefit from timely rains, supporting early soybean and full-season corn development in Mato Grosso and Goiás. Meanwhile, southern states, particularly Rio Grande do Sul and western Paraná, remain short of moisture, and crop scouts warn that without meaningful rain in the next 10–14 days, yield risk rises quickly as later-planted soybeans enter reproductive stages. Argentina remains on firmer footing with generally solid moisture supporting early corn and soybean development, though forecasts lean drier for Córdoba and southern Santa Fe and bear watching into January. In the US, winter wheat is settling into dormancy under mostly stable conditions, with lingering soil-moisture concerns across parts of the HRW belt but no widespread winterkill threats on the radar. Overall, the market's near-term weather sensitivity is increasingly tied to whether southern Brazil can stabilize conditions before January yield potential starts to firm up.

What's Next (Dec 17 – Dec 24):

Export Sales (Dec 18): Follow-through expected after recent Chinese soybean flashes; corn bookings to Japan and Mexico also in focus.

South American Weather: Key 7-day outlook for southern Brazil and Argentina—crop stress likely to build if rainfall underperforms again.

River Logistics: Monitor barge and rail premiums for signs of freight bottlenecks heading into holiday slowdown.

NOPA Crush Follow-Through: Track processor bids to see whether record crush volumes lead to further interior basis strength.

Argentine Export Activity: Watch Up-River FOBs and lineups to assess pace of post-policy-shift marketing.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	12/10/2025 Close	12/17/2025 Close	Change (Δ)	Δ%	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.38	\$4.36	-\$0.02	-0.47%	12% (ann.)	+3k (est.)
Soybeans (Jan '26)	\$10.95	\$10.66	-\$0.29	-2.65%	18% (ann.)	-6k (est.)
Wheat (Mar '26)	\$5.30	\$5.23	-\$0.07	-1.32%	13% (ann.)	+1k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	12/10 Quote	12/17 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Mar–May	-0.11\$	-0.10\$	+0.01	46%	Nearby demand firming vs. forward carry
Soy Jan–Mar	-0.09\$	-0.11\$	-0.02	52%	Crush pull holding January, softening front-end
Wheat Mar–May	-0.12\$	-0.12\$	-0.00	55%	Storage-led; heavy global stocks rewarding carry

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	12/10 USD Price	12/17 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,169(\$6.50/bu)	¥2,180 (\$6.55/bu)	+0.8%	Steady on local supply debate; limited momentum
Dalian Soymeal (Jan)	¥3,560(\$490/mt)	¥3570 (\$492/mt)	+0.3%	Firm on livestock feed demand; meal driving margins
B3 (São Paulo) Corn (Jan)	R\$67 (\$12.10)	R\$67.5 (\$12.15)	+0.4%	Slightly firmer; southern dryness offset by Center-West rains
Euronext Wheat (Mar)	€195 (\$5.25/bu)	€192 (\$5.18/bu)	-1.5%	Lower on heavy EU stocks; bids softer amid Black Sea competition

Corn Market Deep Dive

Futures & Spreads: March corn futures closed at \$4.36/bu, down 2¢ w/w, extending a multi-week consolidation as paper markets reflect comfort while physical flows stay firm. The Mar–May spread narrowed to 10¢, or roughly 46 percent of full carry, pointing to steady front-end pull from processors and exporters. Implied volatility held near 12 percent, consistent with a market lacking directional urgency. Open interest rose modestly, signaling that commercials continue to layer in Q1 hedges without

prompting broader fund activity.

Cash & Basis: CIF Gulf basis held in the low-70s over March (around +72¢), supported by winter logistics frictions (tow delays/ice risk/holiday scheduling) and tighter spot barge availability, even as river levels have improved from the fall lows. Interior basis was firmer in pockets, with Western Corn Belt processors generally ranging from a few cents under to the teens under March. National average basis sits near 40¢ under March, roughly 20¢ firmer than normal for mid-December and consistent with ongoing nearby demand.

Funds & Positioning: Positioning turned modestly more supportive in the latest Disaggregated COT snapshot. Managed money was still slightly net long (+23k) in CBOT corn, and the weekly shift reflected meaningful short-covering alongside a small add in longs, leaving funds more net-long than the prior week. Producer/merchant hedging increased on the other side, consistent with steady commercial selling into carry. Net, flows were supportive, but the market still appears primarily driven by cash signals, basis, spreads, and demand execution.

Export Sales & Inspections: Export sales data remain the latest available through Nov 20, with corn net sales at 1.936 MMT. More current flow signals stayed strong, while inspections for the week ending December reached 1.583 MMT, down from last week but still strong, keeping YTD volumes approximately 69 percent ahead of last season. Mexico, Japan, and Colombia continue to lead, with steady PNW loadings to South Korea and Taiwan underpinning late-Q4 execution. Despite Brazil's competitive FOB offers, the US program into Latin America remains resilient.

So What? Corn sits in a steady stalemate: futures pricing reflects abundant stocks and South American optimism, while cash markets continue to tell a different story. Strong Gulf basis, active ethanol grind, and firm export inspections all point to tighter-than-assumed front-end supply. Commercials are gradually building coverage, while speculative pressure remains muted. With logistics under strain and Argentine offers still slow to materialize, dips are well-bid and rallies still capped. Until new data emerges, the market appears anchored in the \$4.25–\$4.50 range, with spreads remaining the clearest signal of nearby tightness.

Soybean Market Deep Dive

Futures & Spreads: January soybean futures fell 29¢ this week to settle at \$10.66/bu, breaking lower after two weeks of range-bound trade. The Jan–Mar spread widened to –11¢, or roughly 52 percent of full carry, showing some softening in front-end tightness while still reflecting firm commercial interest. The pullback followed improved rainfall across central Brazil and underwhelming US export data, prompting speculative longs to exit. Even so, the forward curve remains compressed by historical standards for December, supported by persistent domestic crush demand and slow farmer movement.

Speculators are beginning to unwind long positions built up during recent US–China trade optimism, particularly after Trump-era rhetoric suggested large Chinese demand that has not materialized. Improved rainfall in Brazil and CFTC data revealing net longs near decade highs have prompted position cleanup, reinforcing the complex's downside bias.

Cash & Basis: CIF Gulf soybean basis was in the low-80s over January (around +82¢), supported by firm nearby demand and river logistics. Processor bids remained supportive but mixed, stronger in key Eastern Corn Belt locations (examples near flat to small premiums), while many interior markets still posted discounts. National average soybean basis was roughly **25–30¢ under January**, still firm for mid-December. Cash is helping stabilize the front end even as export execution lags.

Funds & Positioning: Managed money remains heavily skewed to the long side in soybeans, sitting roughly +215k net long contracts, little changed on the week. That matters because it keeps the board liquidation-prone on favorable Brazil weather or soft US export execution, there's still length in the system that can be reduced. At the same time, the lack of a big unwind this week suggests the break lower was more fundamentals-led than flow-driven. Downside pressure can persist if exports stay sluggish and Brazil improves, while any durable recovery likely needs a fresh catalyst, weather deterioration in South America or a clearer demand re-acceleration, especially from China

Crush Margins & Domestic Demand: Soymeal continues to do the heavy lifting for crush economics. NOPA's November crush printed 216.0 mbu, a new record, consistent with steady soymeal offtake and strong processor run rates into year-end. Meal demand has kept interior bids supported, while soybean oil has remained a weaker leg of the complex, limiting the contribution from oil to the board crush. Even so, crush margins have stayed attractive enough to keep plants pulling hard for nearby coverage, which continues to underpin soybean basis despite soft export execution.

Export Sales & Inspections: Export sales data remain the latest available through Nov 20, with soybean net sales at 2.455 MMT, including 1.707 MMT to China (2025/26). Still, total commitments remain 35 percent behind last year's pace, with new demand heavily concentrated in Mexico and smaller Asian markets. Inspections for the week ending Dec 11 fell to 0.796 MMT, down 24 percent from the prior week and 46 percent below the same time last year. China's recent activity appears limited to strategic reserve purchases, with no evidence yet of broad-based commercial buying. Forward visibility remains murky.

So What? Soybeans are stuck between strong domestic crush dynamics and persistent export drag. Commercials remain active buyers in the cash market, and crushers are still bidding aggressively. But without a clear signal of sustained Chinese demand, or meaningful weather-driven supply risk out of Brazil, futures are likely to stay under pressure. Basis strength and firm spreads continue to anchor the front end, but for the board to move meaningfully higher, the market will need either a deterioration in South American yield potential or a broader demand recovery out of China.

Wheat Market Deep Dive

Futures & Spreads: Chicago March SRW futures softened 7¢ on the week to close at \$5.23/bu, retracing part of last week's modest recovery. Kansas City HRW held steady around \$5.07, while Minneapolis HRS edged marginally higher to \$5.63. The Mar–May SRW spread remained stable at –12¢, or about 55 percent of full carry, indicative of a storage-led market with little urgency on either side. US futures remain pressured by heavy global supplies and unrelenting Black Sea competition, though recent signs of improved US execution have helped prevent further breakdown.

Cash & Basis: Wheat basis held steady in mid-December, consistent with a carry-driven market and limited nearby urgency. Gulf SRW FOB values were in the low-\$6s/bu range (roughly \$220–\$235/MT equivalent), still carrying a premium to key Black Sea offers and limiting US competitiveness in tenders. Southern Plains HRW basis firmed slightly on localized feed demand, while PNW soft white bids stayed supported by steady Southeast Asian interest. National basis averages remain near –60¢ to –72¢ under March for SRW and –74¢ under KC March for HRW, typical of a surplus environment where movement stays tactical rather than structural.

Export Sales & Inspections: Export sales data remain the latest available through Nov 20, with all-wheat net sales at 381,100 MT. Weekly inspections rose to 488,000 MT for the period ending Dec 11, up 23 percent week-over-week and running ahead of the same week last year. Season-to-date inspections now sit at 14.125 MMT, keeping shipments on a 22 percent year ago advantage. Soft white wheat from

the Pacific Northwest remains the bright spot into Southeast Asia, while HRW movement from the Gulf is steady. Even so, US FOB offers remain priced above key competitors, keeping the export book tactical rather than transformational.

Funds & Positioning: Managed money in Chicago SRW wheat remains net short about -44k contracts, but the week showed a mild de-risking as funds added length and trimmed the bearish edge by roughly 10k. Positioning is still negative, so rallies remain fundamentally capped by global surplus, but the market is less “one-way” than it would be if shorts were actively building, leaving more room for stabilization and occasional short-covering pops on export or logistics surprises.

So What? Wheat markets continue to operate under the weight of global surplus. Russian and Argentine export programs are defining the price ceiling, leaving US wheat to fill niche demand at a relative premium. While US execution has quietly improved, the lack of sustained momentum and structural pricing disadvantage remain headwinds. However, the scale of speculative short interest leaves the door open to short-covering rallies on any shift in global logistics, weather, or currency. Until then, futures are likely to stay anchored near recent lows, with commercial activity focused on breaks rather than breakouts.

US Cash Market & Basis

Corn: Corn basis remains resilient for December, with CIF Gulf bids quoted in the low-70s over March (around +72¢), still historically firm for the season. Ice buildup and winter logistics frictions have slowed Gulf arrivals at times, lending support to spot premiums. Interior bids remain strongest in the Western Corn Belt, where ethanol grind continues at near-record levels. Iowa and Nebraska processors were generally near flat to modestly under the board for spot delivery, as plants compete for limited available bushels. National basis now averages around -41¢ under March, roughly 20¢ stronger than the five-year average for this date. Farmer sales remain minimal, particularly in areas with firm local basis and low flat-price motivation. End-user competition for immediate ownership is keeping the front end tight, even with a nominal 2.1 bbu carryout on paper.

Soybeans: Soybean basis continues to reflect tight nearby supply, underpinned by record domestic crush and a reluctant farm seller. CIF Gulf barges for January shipment held steady in the low-80s over Jan futures (around +82¢), with limited give despite recent board weakness. Processor bids across key Eastern Corn Belt locations (Decatur, Lafayette, Morristown) were quoted between +65¢ and +75¢ over Jan for prompt delivery, supported by firm soymeal pull. River basis improved modestly as barge traffic stabilized, but freight remains a volatile input. National average basis sits near -26¢ under Jan, roughly a dime firmer than the seasonal norm. While export demand remains soft, crushers are still bidding aggressively, and the Jan/Mar spread continues to suggest commercial willingness to carry inventory. Brazilian forward offers remain cheaper into March, keeping a cap on Gulf premiums heading into Q1.

Wheat: Wheat basis remains stable but directionless. Gulf SRW FOB values were in the low-\$6s/bu range (roughly \$220-\$235/MT equivalent), still carrying a premium to key Black Sea offers and limiting US competitiveness in tenders. Russian 12.5 percent protein wheat remains anchored near \$230/MT, keeping global benchmarks subdued. HRW basis in the Southern Plains saw marginal strength as feed users sought alternatives to expensive corn, but broader movement remains muted. In the Pacific Northwest, soft white bids held firm on continued interest from Southeast Asia. Overall, the US cash wheat market continues to reflect a carry-driven dynamic: flat prices are too low to incentivize sales, but basis lacks the momentum to flip the narrative. The USDA's 900 mbu export forecast remains feasible, but only if FOB spreads stay defensible through late Q1.

International Cash & Trade Flows

Brazil: Grain exports from Brazil remain seasonally active but are beginning to slow as the old-crop cycle winds down. ANEC now pegs December soybean exports at 3.57 MMT, roughly 200,000 MT above last week's estimate, while corn shipments were nudged up to 6.35 MMT (vs. 6.30 MMT previously), still elevated relative to historical norms given the size of the safrinha crop. Soymeal loadings were also raised to 2.0 MMT for December, reinforcing Brazil's strong protein export program into year-end. FOB Santos soybean offers were still hovering near \$10.05–10.10/bu for January loading, keeping Brazil the preferred origin for Jan/Feb shipments, while US Gulf values held a \$12–15/MT premium. Corn FOB at Paranaguá traded near \$204/MT, preserving a pricing advantage into Southeast Asia and the Middle East. Logistical flows through southern ports remain fluid, with no significant congestion reported. Recent rains improved soil profiles in Mato Grosso and Goiás, supporting early soybean development, while conditions in the south remain mixed, Rio Grande do Sul continues to battle dryness, though safrinha timing has yet to be compromised. For now, Brazil retains the competitive edge across corn, soybeans, and soymeal heading into Q1.

Argentina: Argentina's post-election policy overhaul is beginning to reshape its export dynamics. A sharp peso devaluation and lower export taxes have reset FOB pricing: corn offers fell to \$178–182/MT, soybeans to \$428–432/MT. However, volumes remain thin as growers await further currency stabilization. Farmers are reportedly cautious amid ongoing regulatory recalibration and uncertainty around new fiscal policy. Domestic crush plants around Rosario continue to draw on pre-election inventories, while planting progress is solid, soybeans and corn at 59 percent, helped by decent moisture, though recent forecasts show emerging dryness in Córdoba and central production areas. The wheat harvest is over 60 percent complete, with local analysts lifting the production estimate toward 27.7 MMT. If logistical and policy conditions stabilize, Argentina is well positioned to become a more aggressive exporter in early 2026.

China: China remains deliberate and price-sensitive in its grain purchasing, with crushers still favoring South American origin for early-2026 arrivals given the premium in US Gulf offers versus Brazil. The latest confirmed US export sales report (still only through Nov 20) included a highlight showing 1.707 MMT of soybeans to China for 2025/26 activity the trade continues to interpret as largely state-directed rather than broad-based commercial restocking. On corn and wheat, the tariff suspension has not translated into material new buying, and commercial participation remains minimal. Domestic Dalian corn values remain elevated, but no sustained arbitrage window has opened. Soymeal futures stayed firm near ¥3,570/MT on livestock feed demand, but until commercial margins improve and buying broadens beyond tactical coverage, US exporters are unlikely to see sustained Chinese engagement across the grain complex.

EU / Black Sea: Russian FOB wheat offers held firm near \$232–237/MT this week, supported by ruble stabilization and renewed regional demand. Ukraine's grain corridor continues to function, with Danube and rail flows moving steadily into the EU. Ukrainian corn offers around \$205/MT remain a key pressure point for EU feed markets. While French wheat (FOB Rouen) held near \$229/MT, EU exporters continue to trail Black Sea pricing in key North African and Middle Eastern tenders. Russian and Ukrainian soymeal has also made inroads into Mediterranean feed markets, thanks to advantageous freight rates and softer currency terms.

Other Regions: Australia's wheat harvest progressed across eastern states, with yields holding steady, though drought in Western Australia has trimmed national output potential. Total production is expected below 25 MMT, down sharply from the 2022 record but still a contributor to global supply. Canadian spring wheat exports continue into Asia and Latin America on a routine basis. India's grain export restrictions remain unchanged, and no easing is expected in the near term. South Africa's summer crop season is on track, and no significant disruptions have been reported from other minor origins.

So What? Global flows continue to be led by Brazil and Russia, whose aggressive pricing and logistics networks define the world's marginal grain supply. Argentina is poised to regain competitiveness, but farmer behavior and logistics will dictate pace. US exporters remain essential to traditional partners but lack pricing power in global tenders. Recent Chinese buying does little to change this equation. Without a major weather or policy catalyst, US export market share will remain opportunistic, not directional. For now, global FOB spreads continue to anchor world price direction outside the US

Key Fundamentals & Reports (Dec 10 – Dec 17)

Crop Progress: With US harvest fully complete, weekly updates have paused for the season. Winter wheat condition ratings remain the focus, last reported at 48 percent good/excellent. Dryness persists in key HRW zones across western Kansas and central Oklahoma. With crops now entering dormancy, the spotlight shifts to subsoil recharge potential ahead of spring.

Export Inspections (USDA FGIS – week ending Dec 11): Corn inspections held firm at 1.583 MMT, sustaining a pace well above last year and the five-year average. Cumulative corn exports now exceed 22.5 MMT, tracking comfortably toward USDA's 3.2 bbu projection. Soybean inspections declined to 0.796 MMT, the lowest in four weeks, reinforcing broader concerns around export slack, even with recent Chinese flash purchases. Cumulative soybean loadings remain approximately 46 percent behind last year's pace. Wheat inspections rose modestly to 488,000 MT, lifting the season-to-date total to 14.124 MMT, or 22 percent ahead of last year, keeping the 900 mbu annual target within reach.

Export Sales (USDA FAS – latest report available through week ending Nov 20): Weekly export sales reporting remains delayed, so the most recent confirmed figures are still for Nov 20. Corn net sales were 1.936 MMT, reflecting steady demand led by Mexico, Japan, and "unknown" destinations. Soybean net sales totaled 2.455 MMT, and while reporting detail has been uneven, the export "highlights" table flagged 1.707 MMT of soybeans to China for 2025/26, volume the market is still treating cautiously as potentially tactical/state-directed until the backlog and buyer mix normalize. All-wheat net sales were 381,100 MT, consistent with routine business skewed toward HRW/soft wheat programs.

Ethanol Production & Stocks (EIA – week ending Dec 12): Ethanol production stayed elevated at 1.131 mbpd, reflecting a strong early-December grind. That implies weekly corn use of roughly 100–102 mbu on the high end of seasonal norms. Stocks rose slightly in line with holiday-season builds, while margins remained positive, underpinned by firm corn basis and steady DDGS values. Processor bids in Iowa and Nebraska continue to reflect aggressive commercial pull.

CFTC Positioning (latest available Disaggregated COT snapshot): Managed money positioning remains split across the grain complex. In corn, funds are still slightly net long (about +23k CBOT contracts), with the latest weekly shift reflecting meaningful short-covering alongside a small add in longs—supportive flow, but not the primary driver versus cash signals. In soybeans, managed money remains heavily net long (roughly +215k), which keeps the board liquidation-prone on favorable Brazil weather or continued soft US export execution; the fact that length did not unwind sharply this week suggests the break lower was more fundamentals-led than purely flow-driven. In Chicago SRW wheat, funds remain net short (around –44k), though the week showed mild de-risking as shorts were trimmed by roughly 10k, leaving positioning less "one-way" and keeping the door open to short-covering pops on export, logistics, or headline surprises even as the global surplus still caps sustained rallies.

NOPA Crush (November – released Dec 16): November soybean crush reached 216.0 million bushels a new monthly record and toward the upper end of trade expectations. Soymeal continues to lead demand, with export shipments holding steady and domestic livestock use remaining robust. Soybean oil

yield and ending stocks were slightly above forecasts, but SBO remains a secondary driver relative to meal. The strong print reinforces firm processor bids and supports continued strength in front-end spreads.

So What? Markets continue to lean on real-time commercial signals, with *WASDE* now in the rearview and positioning data offering only a partial snapshot of risk appetite. Corn demand remains the standout: ethanol production and inspections are validating current board levels despite a nominally comfortable carryout. Soybeans are posting historic crush demand but remain constrained by export underperformance outside of tactical Chinese reserve buying. Wheat's shipment pace has been quietly constructive, helping stabilize the board even as global surplus keeps rallies capped. Until broader clarity emerges, via South American yield signals and clearer speculative conviction, basis, inspections, and spreads will remain the market's most reliable directional guideposts.

International Reports

Brazil: Brazil remains the focal point of global grain pricing as the country navigates contrasting weather patterns and maintains smooth logistics. Soybean and corn FOB offers at Santos and Paranaguá remain competitive into Asia, with corn quoted near \$206–208/MT and soybeans holding a \$10.05–10.10/bu equivalent. Favorable rainfall in central and northern regions has kept early planted soy and corn in solid shape, but southern states, especially Rio Grande do Sul, continue to show signs of mounting dryness. CONAB revised its soybean production to 177.1 MMT, noting localized replanting and lower stand counts in the south. Despite this, export flows are running without disruption, with no significant port congestion reported. With field progress nearing completion, the market's next focus is the weather in January as early reproductive stages begin.

Argentina: The Argentine market is responding quickly to the government's post-election economic reset. A steep peso devaluation and reduced export taxes have boosted FOB competitiveness and encouraged farmer selling. Soybeans are offered around \$428–432/MT and corn near \$178–182/MT, though volume remains uneven as producers assess inflation and policy uncertainty. Soybean and corn planting stands at 59 percent, both tracking slightly ahead of last year. Most of the growing belt still enjoys above-average moisture, but short-term forecasts have shifted drier for Córdoba and central zones. Domestic crushers continue operating steadily on pre-election inventories, and Argentina remains a reliable supplier of soymeal, supported by strong export margins and structural processing capacity.

China: After a wave of US soybean purchases earlier in the month, primarily attributed to state reserves, commercial interest has cooled again. Flash sales in December totaled over 1.5 MMT, but recent buying appears sporadic and tactical rather than part of a broader restocking effort. US Gulf soybeans still hold a premium to Brazilian equivalents, and Chinese crushers are cautious amid thin margins and weak demand for feed. Soymeal futures have softened in response to government stock releases and rising inventory. Despite the tariff suspension on US corn and wheat, there has been no meaningful pickup in commercial activity. For now, China remains active on a case-by-case basis, but not a dependable growth engine for US exports.

EU / Black Sea: Russia continues to set the tone in global wheat pricing, with steady FOB offers near \$230–232/MT. Ukrainian grain movement faces renewed friction after damage to key infrastructure earlier in December, pushing more volume through Danube ports and rail corridors. Ukrainian corn is offered near \$218–220/MT, adding pressure to EU feed grain markets. EU internal demand remains well-supplied, and wheat exports, especially from France, are trailing last year. The region is not lacking in volume but remains secondary in global trade flows as Black Sea origins retain cost advantage and logistical access. Unless currency dynamics shift or weather introduces disruptions, the EU's export share is likely to stay capped.

Global: With few surprises from recent government or private estimates, the global supply picture remains ample. Freight rates have eased, Baltic Dry Index down nearly 20 percent in December, improving netback margins for many origins. Argentina and Brazil remain on track for major export programs, though Brazil's southern dryness bears watching. Australia's wheat harvest is progressing without major logistical issues, and no supply shock is currently visible across secondary origins. Barring a major turn in South American weather or a sustained return of Chinese grain buying the international trade balance remains neutral to heavy.

So What? Global grain pricing continues to revolve around Brazil's smooth flows and Russia's aggressive wheat offers. Argentina is re-entering with policy-driven competitiveness but still faces uncertainty. China's return has been noticeable but not consistent, and buyers remain price sensitive. The US remains a key supplier to traditional customers but isn't leading the global trade narrative. Unless January weather in South America triggers a production cut or China steps up with forward purchases, export arbitrage will continue to favor lower-cost origins, keeping US competitiveness in check.

Weather & Crop Conditions

United States

With harvest now complete, weather's role has shifted toward supporting winter wheat establishment and maintaining logistical fluidity. Crop progress updates have paused for the season, but soil moisture remains a concern in key HRW areas. Kansas and western Oklahoma continue to report abnormally dry to moderate drought readings, with patchy emergence in some fields. Adequate recharge between now and February will be essential to avoid early-season stand degradation.

On the logistics front, Mississippi River levels have continued to improve after October's lows. Gauges at Cairo and Memphis ticked higher this week, and most draft restrictions have been lifted. Barge movements are operating near standard winter capacity, a notable relief for export flow. The 10-day forecast shows seasonal to slightly above-average temperatures across the Midwest and Plains, with limited precipitation expected, reducing immediate threats, but also offering little help in rebuilding soil moisture. Natural gas and diesel markets remain steady, with no energy bottlenecks or polar events currently threatening fertilizer distribution or crop safety.

Brazil

Weather in Brazil continues to show a pronounced north-south divide. Central and northern zones, including Mato Grosso, Goiás, and western Bahia, received consistent rainfall last week, further stabilizing early soy and full-season corn. Stand counts and emergence remain strong, and vegetative growth is advancing rapidly. The story is very different in the south. Rio Grande do Sul and western Paraná saw only isolated showers, insufficient to offset deepening moisture deficits. Later-planted soybeans in these zones are now entering reproductive stages under mounting stress. Crop scouts warn that without meaningful rainfall in the next ten days, irreversible yield losses could begin. Current forecasts from INMET and private models maintain a below-normal precipitation outlook across southern Brazil through late December. Nationwide planting is now nearly complete, shifting market attention fully to reproductive-stage weather and early yield signals in January–February.

Argentina

Argentina's crop year continues to perform above expectations. Soybean and corn planting are around 59 percent, both slightly ahead of last year's pace despite some delays from excess rainfall in Buenos Aires province. Conditions remain exceptional across the primary growing belt: over 90 percent of the agricultural area is rated as having adequate to optimal moisture, and early planted corn shows strong emergence, uniform growth, and minimal pest pressure.

Global

Winter wheat in the Northern Hemisphere entered dormancy under broadly favorable conditions. Russia, Ukraine, and much of Europe wrapped up fall planting with sufficient moisture and no frost exposure. Stand establishment across these zones is mostly complete and stable. In Australia, harvest is concluding in New South Wales and Victoria with average to above-average yields, while Western Australia continues to struggle with drought-driven yield cuts. National output will fall short of last year's record but remains a significant contributor to global balance sheets. India's rabi crop season is proceeding on schedule, with no major disruptions reported across other minor exporters such as South Africa.

So What?

Weather risk is becoming more concentrated and nuanced. Brazil's Center-West looks increasingly stable, but southern regions are flirting with active yield stress as dryness deepens. With reproductive stages underway in key soy zones, the next two weeks will carry heavy directional weight. Argentina offers a bullish offset, ideal moisture and crop health are still holding, but any drying trend into January will quickly raise flags. In the US, logistical bottlenecks have eased, and winterkill risk remains low, supporting basis and interior movement. Global conditions remain benign overall, but South America holds the cards now, how January weather plays out across southern Brazil and central Argentina will likely determine the first major inflection point of 2026.

Synthesis & Outlook

Grain and oilseed markets remain rangebound but increasingly shaped by real-time fundamentals rather than macro signals or speculative flows. Corn futures continue to consolidate around \$4.35–\$4.40, soybeans have broken lower into the \$10.60s amid Brazilian rainfall and export headwinds, and wheat has drifted back toward \$5.20 despite steady US shipments. The consistent thread is a divergence between weak futures sentiment and firm cash market behavior. Basis strength, resilient end-user bids, and historically tight nearby spreads all signal that commercial players are still competing for physical ownership, even as global supply expectations hover near record levels.

The structure of the futures curve reinforces this tone. Corn's Mar/May spread narrowed to –10¢ (46 percent of full carry), soybeans held Jan/Mar near –11.25¢ (52 percent of full), and wheat's Mar/May remains steady near –12.25¢ (55 percent of carry), all pointing to ongoing spot-market firmness. Export inspections for corn and wheat remain ahead of seasonal pace, ethanol production continues to post record or near-record weekly prints, and crush margins are still strong enough to keep soybean processor bids well-supported into year-end. These cash signals are validating board values, even as the paper narrative remains one of ample stocks and ideal South American potential.

The central axis for volatility now lies firmly in South America. Brazil's outlook is split: the Center-West is performing well, but southern states continue to face yield-threatening dryness just as soybeans approach key reproductive stages. Argentina, by contrast, is still tracking toward trend or better yields, with moisture conditions among the best seen in years. Over the next two to three weeks, rainfall, or its absence, in southern Brazil and parts of Argentina will begin to define market direction into Q1. If meaningful production losses materialize, especially in southern Brazil's soy and corn areas, the board will need to reprice risk. If those risks fade, the weight of supply could begin to assert more pressure on spreads and basis.

Bullish triggers: Upside risks remain clustered around firm US physical demand: ethanol output remains near record levels, while crush margins continue to support processor bids. Soymeal strength and slow farmer selling are sustaining interior basis. If weather in southern Brazil worsens, or Argentina's current moisture surplus begins to fade, yield potential may face meaningful cuts. Another wave of Chinese soybean purchases, or a surprise corn tender post-tariff suspension, would likely pull nearby spreads

tighter and support the front end of the board.

Bearish triggers: The downside setup hinges on confirmation that Brazil and Argentina deliver full season record crops without material weather losses. If production risk fades, global supply pressure will reassert control and weigh on US export competitiveness. A seasonal drop in ethanol output, pullback in Chinese demand, or easing Gulf CIF values could loosen basis and compress spreads. Continued undercutting from Black Sea wheat and growing soymeal flows from Russia and Ukraine would further cap US recovery potential.

Watchlist (Dec 18 – Dec 24):

Brazil rainfall maps: focus remains on Rio Grande do Sul, western Paraná

Export inspections: especially soybean shipment conversion from recent sales

Ethanol data: do processors maintain +1.10 mbpd grind into holiday slowdown

Argentina's mid-season moisture profile: any deterioration from current highs

CIF and processor basis: signal shifts in nearby commercial appetite?

In summary: Markets are being pulled in two directions: cash fundamentals remain resilient, while futures reflect caution and macro heaviness. South America holds the key to resolving this split. If Brazilian and Argentine weather cooperate, the weight of supply will reassert control. But if conditions worsen, especially in Brazil's south, the board will need to adjust upward to reflect diminished availability. Until then, spreads and basis will continue to anchor price discovery in the absence of fresh supply shocks.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.